



Trimester Report

TLD-ACE
12/29/2004



Agenda

- ◆ TLD-ACE YTD financial performance
- ◆ Recent Key Wins
- ◆ Potential Opportunities
- ◆ TLD Group info
- ◆ New Product Development Status
- ◆ TLD-ACE Facility Improvements
- ◆ Conclusion

TLD-ACE

YTD financial performance



- ◆ \$26.7M YTD sales against a budget of \$24.6M
- ◆ Slow start and low end product mix meant unprofitable 1st qtr
- ◆ We played catch-up 2nd and 3rd qtr
- ◆ We finally met our 2004 plan for operating profit
 - despite higher than budget sales, meaning margins were lower than planned.
 - Steel, Copper, Fuel cost increases and Euro/Dollar exchange rate are impacting our margins.
- ◆ ***Lack of Military work will make it a challenge to meet the 2005 year end profit plan***



Recent Key Wins

- ◆ Airtransat
 - (7) ACU-2000 Heat Carts
- ◆ Alaska Airlines
 - (2) ACU-2000 Heat Carts
- ◆ Swissport
 - Greece (2) 600-270
 - Singapore (2) 802, (2) GPU, (1) 600-270
- ◆ TAECO
 - (1) 808, (2) 600-400, (2) GPU
- ◆ US Coast Guard
 - (2) 302



Potential Opportunities

- ◆ Glesco 804s
- ◆ Southwest Airlines
 - 600-150 Jet Starters
- ◆ Boeing GPUs, 302s
- ◆ Globe Ground
 - Jet starters and GPUs
- ◆ MAS 808s
- ◆ Continental HGEU90s
- ◆ TMAC Program
 - Similar to 302
 - About to enter proposal stage
- ◆ Bridge mounted Aircon (ACU-900)
 - Proposal activity planned with partner for this unique market

TLD Group info



- ◆ 2004 TLD International Sales Meeting held in Shanghai
 - An opportunity to show the progress made in the last year
 - ISO registration planned for 2005



◆ ***TLD-Shanghai is key for TLD to grow in the Asian market and attract Global customers such as Fedex, UPS, Swissport, Globe ground....***



TLD Group info



- ◆ Group wide missions reviewed
 - Common metrics in place for the factories
 - Sharing of “Best Practices”
 - Movement towards paperless factories
 - Progression of Group ISO registration

- ◆ Progression of the Ranger Program

- ◆ GPUs now built in Windsor, Shanghai, and Argentina
 - ◆ Belt loaders now built in Canada, France and Shanghai

◆ ***The world wide consistency of all TLD products and processes, is a key requirement for Global customers such as Fedex, UPS, Swissport, Globe ground....***



Sharing BEST PRACTICES



An example from the Montlouis Factory Hoshin Methodology

A technique to reduce the cycle time by studying workflow

- ✓ Resulted in reduction of cycle time by 30%
- ✓ Eliminated many non value hours by kitting parts to avoid repetitive handling
- ✓ Requires an intensive effort by all team members
- ✓ *Windsor can benefit from this program and what is being learned in TLD-Europe*



RANGER

Program status



TMX 150-15



TMX 30



Series
GPU-4000



NBL



New Product Development Status



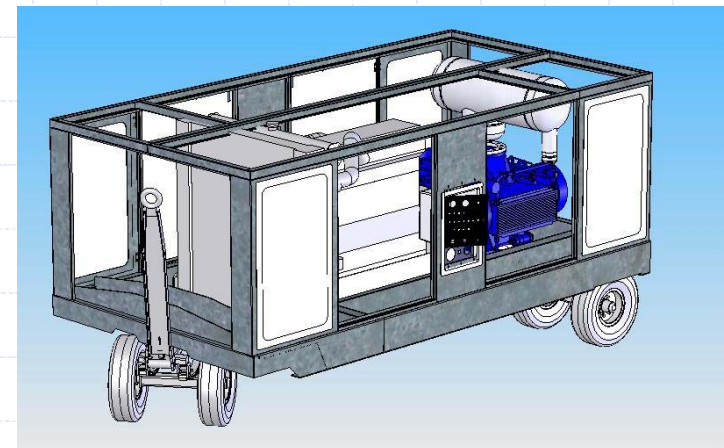
◆ ACU-2000 Heat Cart

- Qualification Testing program in process
- Air Transat 1st customer delivery



◆ ASU 600 Common Chassis 180,270,300 ppm jet starter

- In Prototype stage
- Prototype to be running this February.
- ***This project is key to ACE profitability in 2005***

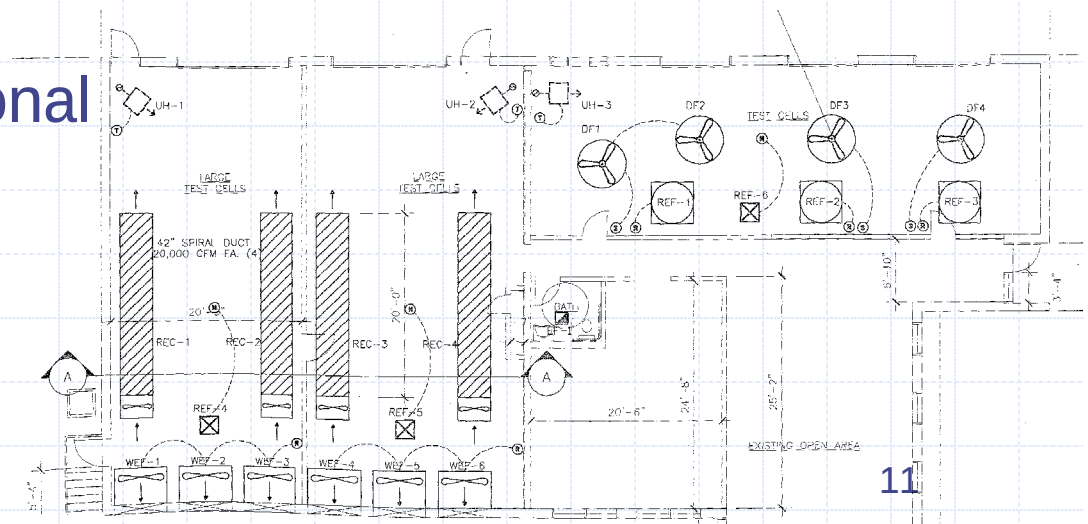


Facility improvements



◆ Test Facility

- Town approval finally received on 12/14/04
- Demolition work has begun
- Will provide 2 large cells and 3 small cells
- Goal is to be operational before spring



Facility improvements



- ◆ 5S projects near complete
 - Very positive comments from our customers
- ◆ Completed Jet Starter Assembly move to center room
- ◆ Paperless shop progressing
 - Direct access to drawings and BOMs
 - Electronic Time keeping
 - E-mail communication
- ◆ Improve Winter loading of shipments
 - Improve loading dock access in 2005
 - “boat” crane near operational



Conclusion



- ◆ Steel, Copper and Fuel cost increases are impacting our margins.
- ◆ 2005 will be without significant Military work
- ◆ We need to rely on commercial work and be able to adjust to a lower production rate.
- ◆ The Airline Industry is still in recovery
- ◆ ***We need to continue to reduce costs and improve productivity through 5s, Paperless systems and long term contracts with key suppliers***
- ◆ ***These actions are of key interest to our customers***